

UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Division of Examinations — Philadelphia Regional Office

Referral Memorandum to the Division of Enforcement

To: C. Ostrowski, Assistant Director, Division of Enforcement, Philadelphia Regional Office

From: Y. Bricenio, Branch Chief, Division of Examinations, Philadelphia Regional Office

Date: September 12, 2023

Examination: EX-2023-14406

Registrant: Marchwood Asset Management LLC (SEC File No. 801-64719)

Source: TCR-2023-0416022

1. Summary

Marchwood Asset Management LLC has, since March 2019, held standing authority to instruct client custodians to withdraw funds from client accounts, and has exercised it to debit advisory fees directly, without obtaining the surprise examination required by Rule 206(4)-2(a)(4), without filing Form ADV-E, and while answering “No” to Items 9.A.(1)(a) and 9.A.(1)(b) of Part 1 of Form ADV. Because the authority is not limited to the advisory fee, the exception at Rule 206(4)-2(b)(3) is not available. The Division of Examinations refers the registrant to the Division of Enforcement.

2. Scope of the conduct

Period	March 2019 to the date of this memorandum
Accounts subject to the arrangement	431
Assets in those accounts (6/30/2023)	\$497,000,000
Of those, accounts acquired or onboarded after June 2, 2011	138, holding \$38,500,000
Surprise examinations obtained for 2019, 2020, 2021, 2022	None
Forms ADV-E filed	None
Form ADV Part 1 Items 9.A.(1)(a) and 9.A.(1)(b) responses	“No” in every annual amendment 2019 through 2023
Custody procedure in the compliance manual in force	None

The arrangement was reintroduced with the firm’s adoption of a third-party billing platform supplied by Aperture Billing Solutions in the first quarter of 2019. The platform transmits the debit file to custodians on the adviser’s credentials. The advisory agreement was amended in February 2019 to add a withdrawal-authorization clause in substantially the terms of the clause removed in 2011 — that is, reaching funds and securities generally rather than the advisory fee alone.

3. Interviews

The current chief compliance officer, R. Sczerbiak, appointed March 1, 2016, stated that the arrangement predates her appointment, that she was told when she raised it that the practice had been examined by the Commission's staff previously and was not a problem, and that she was not able to identify who told her that or to produce anything supporting it. She was cooperative and produced everything requested.

The firm's compliance archive begins in 2014. The firm moved off its legacy archiving platform in 2017 and pre-2014 material was not carried across.

4. The 2011 examination — what our record shows

The registrant was examined in 2011 under examination number 2011-0447 (Philadelphia legacy series). The complete record in SENTRY is:

1. a summary record — registrant, fieldwork February 28 to March 11, 2011, examiner in charge D. Whitlatch, branch chief R. Achterberg, disposition code **C-2, closed no further action**; and
2. a scanned copy of a closing letter dated June 28, 2011 stating that, based on the corrective actions described in the registrant's response, the staff has closed the examination and will take no further action at this time.

There is no deficiency letter, no correspondence and no work paper in the file.

We also pulled the registrant's filing history. Forms ADV-E were filed on the registrant's behalf for calendar years 2011 and 2013 and for no year after that. Surprise examinations were therefore performed in those two years. The filing history does not tell us why, and the registrant's position is that they were voluntary.

Two observations the Division of Enforcement should have before it opens a matter.

First, the closing letter refers to "the corrective actions described in your response." Our file does not contain the response, does not contain any letter that would have prompted a response, and does not identify what was corrected. On its face the letter is evidence that something was required in 2011 and that our record of what it was is missing.

Second, examinations closed before January 1, 2014 migrated into SENTRY as summary record plus indexed final letters only. The absence of a deficiency letter from this file is not evidence that no deficiency letter was issued.

I cannot tell you from what is in the system whether the staff missed this arrangement in 2011 or whether it stopped and came back.

5. Recommendation

Refer for investigation of possible violations of Section 206(4) of the Advisers Act and Rules 206(4)-2 and 206(4)-7 thereunder, and Section 207.

Y. Bricenio

Branch Chief, Division of Examinations